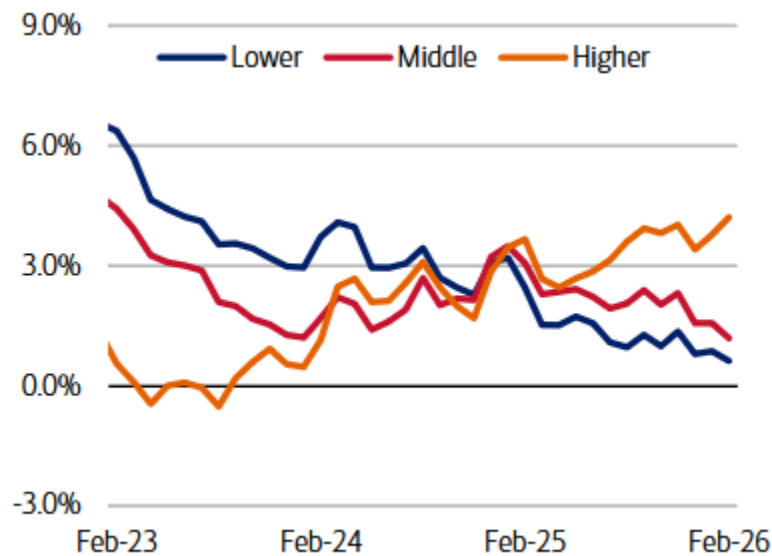


The Last Pillar of Consumer Buying Power: Equity

Recent consumer reports have shown interesting results; most grocery stores are saying consumer sentiment is at the lowest recorded levels and consumers are stretched thin. At the same time, the luxury market is booming, inflation is rising due to increased spending and the United States economy is weathering the interest rate hikes by showing unexpected resilience.

Systematic evidence shows that spending growth is notably faster at the top end of the income spectrum than the bottom bracket. Post-pandemic wage growth has slowed dramatically for lower end consumers, notably from mid 2024 to 2026. Lower end consumers are getting a declining real wage, and yet consumer spending in aggregate is still strong, mostly coming from higher income households with wealth in equity. Figure 1 shows the change in wage rate since February 2023.

Figure 1

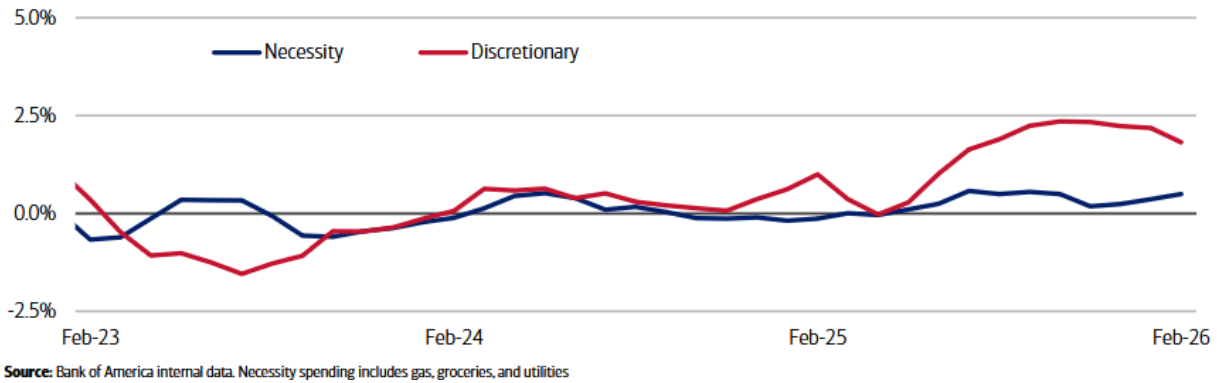


Source: Bank of America internal data

[Bank of American Institute](#)

More importantly, people are buying discretionary goods on credit, even while necessities have remained flat. Consumers are buying more goods that they don't need as shown in Figure 2 from the Bank of America Institute.

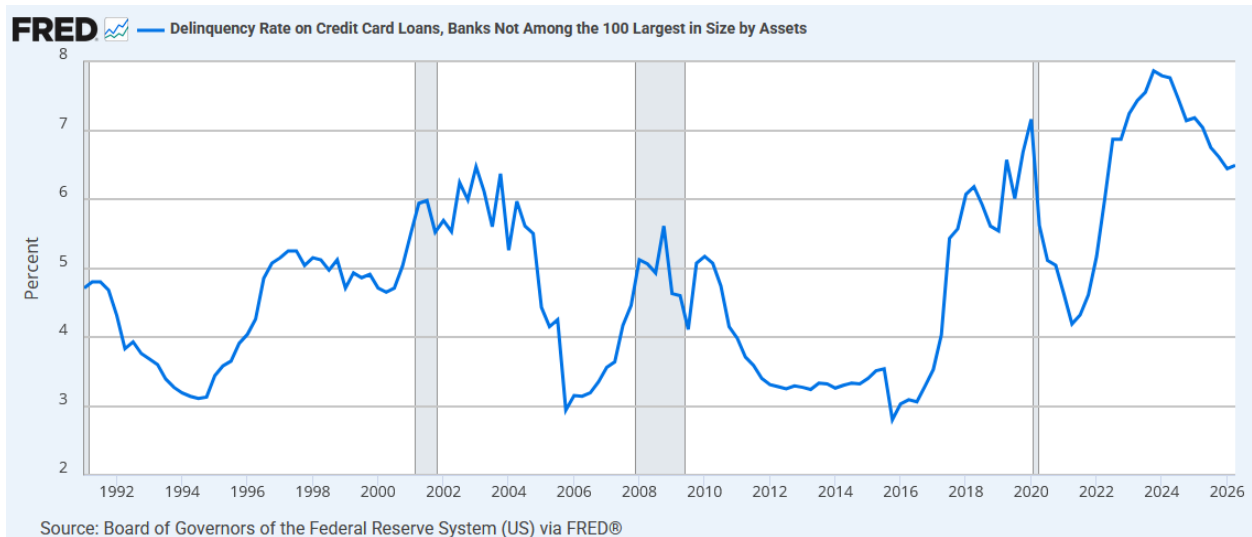
Figure 2



Bank of American Institute

Lower rates of wage growth with higher discretionary spending can only mean one thing; that consumers are more confident with utilizing lines of credit, and it is not only shown in Bank of America internal data. If we look at Delinquency rate on credit card loans for smaller banks, which are mostly populated with lower end consumers, we'll see a rising delinquency rate as shown in Figure 3 below:

Figure 3



Federal Reserve Bank of St. Louis

The biggest problem with consumption loans is subprime credit, because they naturally contribute to financial stress and bankruptcies. So far, delinquency has risen higher than periods between COVID-19 and 2008, but for now consumers are able to make enough payments to not translate into charge-offs. If that occurs, it would be much harder for consumers to buy cars and other high-value goods in the future.

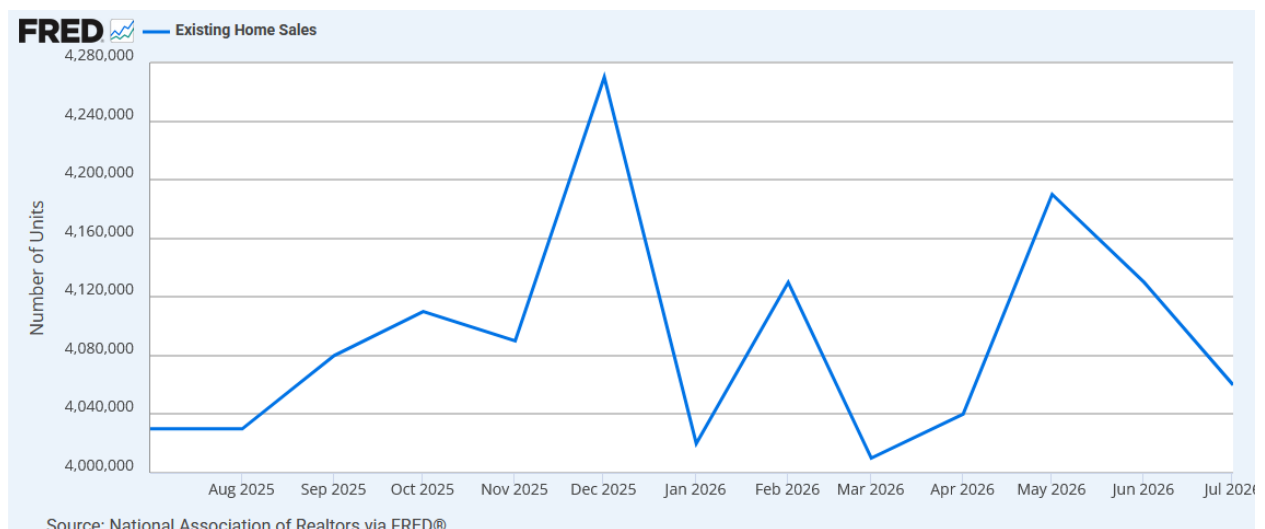
The part that is not spoken about is that consumers are accumulating credit for necessities. This is a completely different kind of households from the top 1%, who possess most of their wealth in the stock market and real estate. Wealthier consumers are able to carry the economy through strong buying power that comes from their equity holdings.

There are three elements that might be the culprits to this environment: asset-backed borrowing, the Marginal Propensity of Consumer (MPC), and favorable tax treatment on capital gains. So far the only answer to consumer elevated discretionary spending comes from their wealth creation in the public markets mainly due to artificial intelligence stocks and real estate.

Part I: Asset-Backed Borrowing

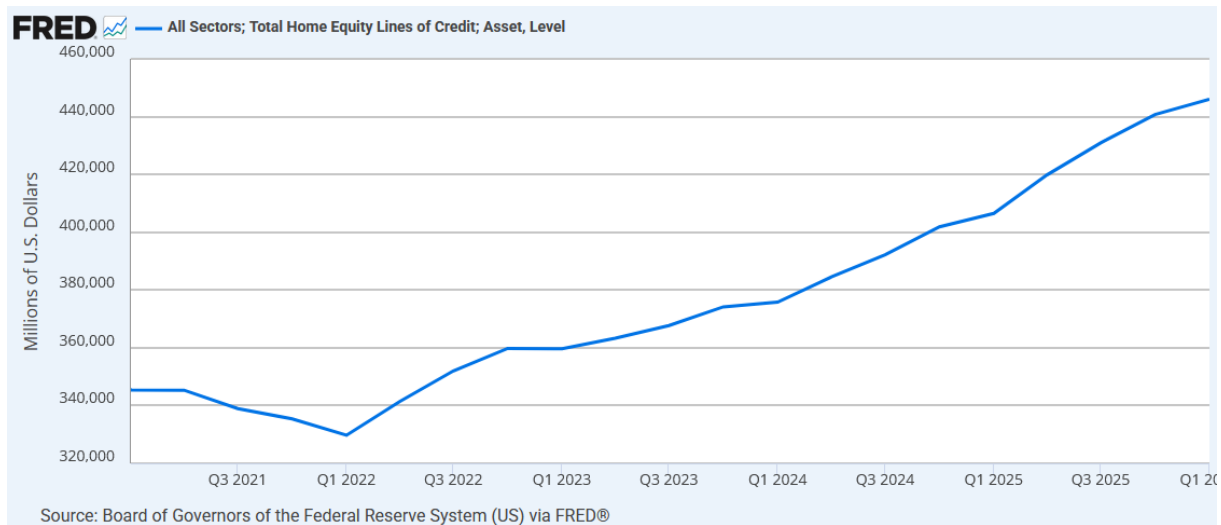
When it comes to asset-backed borrowing, the idea is to borrow against your portfolio without selling the underlying asset which is the equity. The wealthy investor is then able to buy goods with tax-free liquid funds. As long as their equity value increases, the marginal cost of owning Securities-Backed Lines of Credit (SBLOCs) or margin loans is small. Equity line of credit are more popular for the small population in the top 1%, because they own most of their wealth in funds and public companies. For households in the 50th to 90th percentiles, the majority of their net worth is tied up in real estate. Those households are able to take on Home Equity Lines of Credit (HELOCs) to inflate their consumption spending. They don't necessarily need to sell their house in order to benefit from the extra buying power. Figure 4 from FRED shows the trend in lower rates of housing sales since August 2025:

Figure 4



HELOCs allow people who aren't able to sell their houses due to high interest rates to have liquid tax-free funds. HELOC is the byproduct of the frozen housing market, not the cause of it, yet it is still impacting inflation and what households are capable of purchasing.

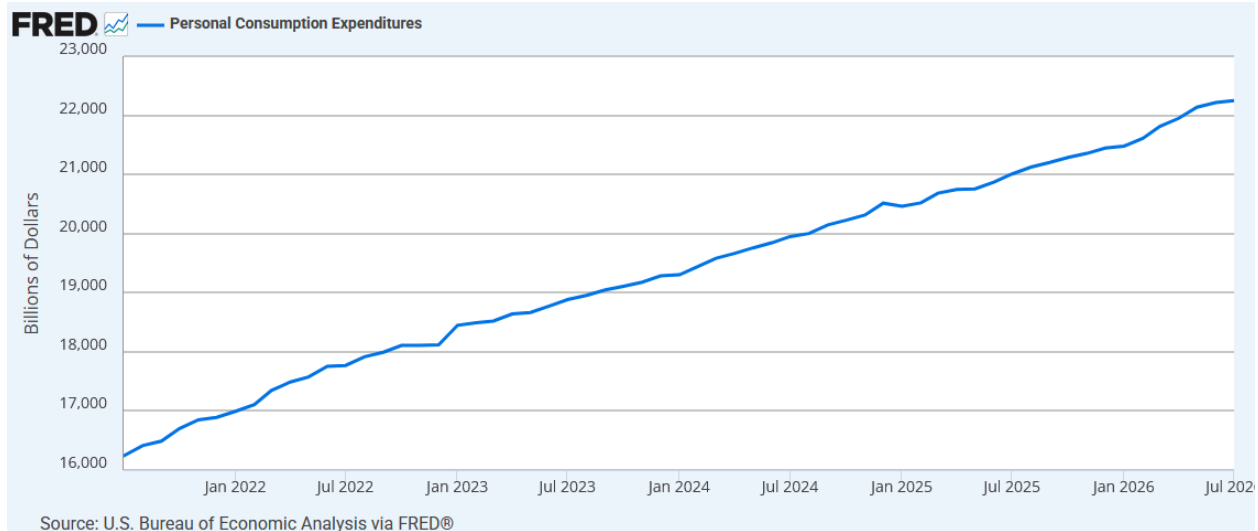
Figure 5



Federal Reserve Bank of St. Louis

This shows a rapid increase in credit line since Q1 2022, allowing households to outspend their means in the majority of cases. This contributes heavily to the sticky inflation problem and the inability for the Fed to lower inflation in the foreseeable future. From a risk-adjusted perspective, this is not sustainable for consumers in the long term as they are reliant on the rising housing prices or equity for wealthy households. Figure 6 shows the recent increase in the absolute personal consumption expenditures since January of 2022. The rapid increase in spending from different avenues such as credit lines and capital appreciation allows investors to spend beyond their means even with high inflation currently plaguing the economy.

Figure 6



Federal Reserve Bank of St. Louis

Part II: The Marginal Propensity to Consume out of Wealth (MPC)

The Marginal Propensity to Consume (MPC) was introduced by John Maynard Keynes in 1936. The math is quite simple: it is the change in consumer spending divided by the change in disposable income. For example, if you get an extra \$1,000 and spend \$800 of it, your MPC is \$800 divided by \$1,000, which equals 80%. The remaining 20% goes to savings, known as the marginal propensity to save. For every dollar increase in a consumer's income through public markets and real estate with the use of credit lines, their annual spending increases roughly by 3 to 9 cents per dollar. Rising asset value reduces the consumer saving rate, increasing the propensity to consume while decreasing the propensity to save. This relationship is shown clearly in Figure 7 from the Federal Reserve Bank:

Figure 7



Federal Reserve Bank of St. Louis

Wealthy households create an inflationary floor that disproportionately hurts lower-income consumers. This is the major reason why inflation is so sticky and why prices are rising so rapidly for lower-end consumers. The K-shaped environment is mainly driven by consumption through wealth and not wage. This is why the current environment is so foreign; the idea that more Americans have lasting wealth is still a new reality.

Part III: Favorable Tax Treatment

Besides the benefit of equity credit lines, wealthy investors are rewarded for long-term investing. The capital gain tax rate for long-term investments is much lower than short-term investments. This influences investors to gain buying power through equity credit lines and benefit from long term capital gains tax by maintaining their ownership in stocks and real estate.

The Future For Consumer Buying Power

If you look at the history of United States capitalism, equity has always been the primary wealth creation tool that made people go from low-income backgrounds to wealthy owners. It is not a bad system, we all benefit from a working public market for stock and real estate, but the moment our wealth creation tool becomes our consumption tool, we will be in trouble. Equity is not a solution for stagnant wages and it is not a tool to get low interest rate loans for a new car. We saw the situation occur with the housing market with the inherent danger of over-leveraging assets that are subject to market correction. Here, we cannot expect the stock market to always keep rising, especially since most of the market gains are coming from one sector: artificial intelligence. This will not end well, but I believe our economy will survive it and recover, however long it takes.

Citation

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